

WEEK 2 ASSIGNMENT

RELIANCE INDUSTRIES ANALYSIS YTD

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Let us consider the trading period from Jan to June 2026.

I have identified the support and resistance regions from the chart of Reliance Industries.

Note that in the Volume Chart the red line is the 20 DMA and the green line is the 4 DMA.

- At the start of the year itself we encounter a false signal.
A doji is found to have formed on January 16, 2026. The previous trend clearly is a downtrend. We are inclined to think that the formation of a doji shows that the bulls are gaining dominance as the volume that day is above both the 4DMA and 20DMA.

Converse to our expectations, the stock price goes further down.

Reliance Industries Limited · 1D · NSE

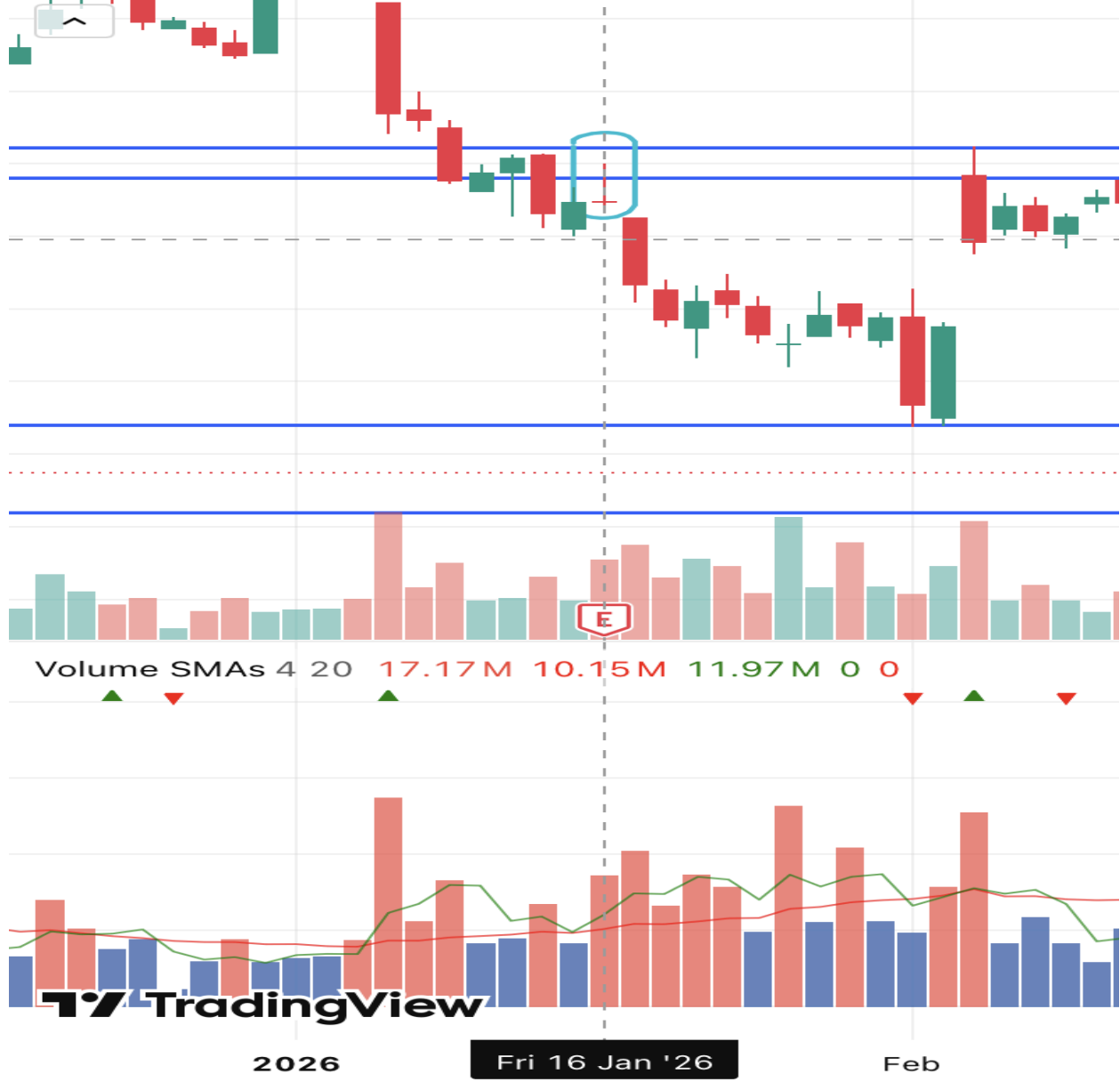


O 1,458.80

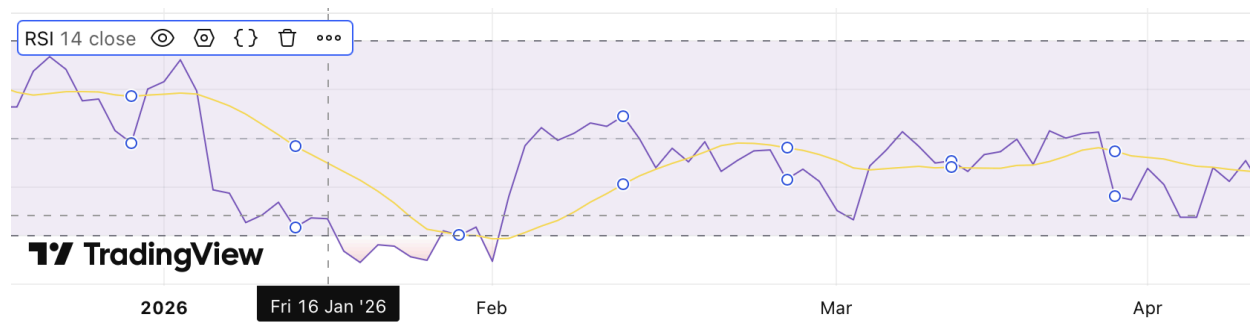
1,309.50
SELL

1,309.50
BUY

Vol 17.17 M



Further looking at the RSI on that day, we see that it is just around 30.



- This means that the stock is oversold and there would be heavy buying in the near future. But, the stock still goes down. From this I remembered that technical analysis is probabilistic.



- Next, looking at the piercing candlestick on February 2, 2026. The volumes are fairly high, above both the SMAs. The opening price on Feb 2nd was near the support region. This supports our thesis.

The RSI is around 40, which isn't bad. This looks like a fair deal but not in an excessive amount as the piercing pattern isn't a very strong signal.

The stock, as expected, does go up.

- March 4, 2026. Morning Star



This encircled pattern isn't exactly like a morning star but the sentiment of the market is the same.

On the second day after a red candle, the market opens below the closing price of the first day and goes up- has a short body. At the point, someone who has some appetite for risk can go in the long position to gain some profit in a couple of

days. The volumes are pretty high and the candlestick on the second day is in the support region.

The RSI factor is also pretty low, around 30, this giving a green signal for going long.

- Evening Star April 20, 2026



Only from the candlestick pattern, this seems to be an ideal evening star to be honest.

But there are major issues with the supporting factors.

- The volume is pretty low- thus telling us that this is not some strong signal displaying some trend.
- The price of the stock is near the support region, if not inside of it. This means

the stock is less likely to fall very hard.

- The RSI factor is touching 50. This shows the momentum is low as the stock isn't overbought or anything of the sort.
- Such analysis tells us to stay away from shorting the stock.

As we see from the further data, the price does go down by a very small margin in the next two days but after that a major uptrend is seen.

- Now, looking at the bullish engulfing shortly after. It has been highlighted in pink.



The volumes are pretty high on that day and huge the next day as well, thus confirming the trend.